upon private banks but indulgence towards public sector banks. This calls for strong separation between the two pillars.

Example 35: Education

In the field of school education, there are three pillars: funding, regulating, producing:

- There is a market failure in the field of education—positive externalities—where the person who obtains education does not take heed of the gains for society that come about as a consequence. This leads to underinvestment in education by each individual. Governments fund education in response to this market failure. This calls for the public administration design of the funding pillar. The simple and equitable way to organize this is to pay Rs X per year per child to parents. The more precise way is to link the rupee value transferred to the incremental knowledge obtained by a child.
- Parents would find it difficult to understand the true contribution made by alternative school providers. This calls for a regulatory strategy. On one hand, regulation may coerce schools to do certain things. In addition, regulation may work through information release which helps parents make decisions about school choice. A public administration strategy is required to design this state capacity in regulation.
- Finally, there may be certain locations where private schools fail to come about. In these locations, the government may choose to be a direct producer of school services, by running government schools. The key tool for obtaining sound functioning of government schools is to ensure that the flow of resourcing into public schools only runs through parents: funding would flow to parents only, and through them, to the schools chosen by parents. A public administration